ABSTRACT

This project investigates the adoption of digital payments and associated security concerns within local kirana stores, a sector traditionally dependent on cash transactions. The primary objectives were to assess the extent of digital payment usage, identify commonly used platforms, and examine the security challenges faced by small merchants. Using a mixed-method approach, this study gathered quantitative and qualitative data from 38 retailers and customers in the Tadali, Kamatghar, and Anjurphata areas through surveys and interviews.The findings indicate a significant shift towards digital payments, with UPI being the most dominant method due to its convenience and speed. Despite high adoption, the study highlights that technical issues, particularly slow internet connectivity and transaction failures, remain a major obstacle. While users generally trust these systems, concerns about fraud and lack of digital literacy are significant hurdles to widespread, confident adoption. This research concludes that fostering a secure and reliable digital ecosystem for small retailers requires a dual focus on strengthening the underlying digital infrastructure and promoting targeted security awareness initiatives.

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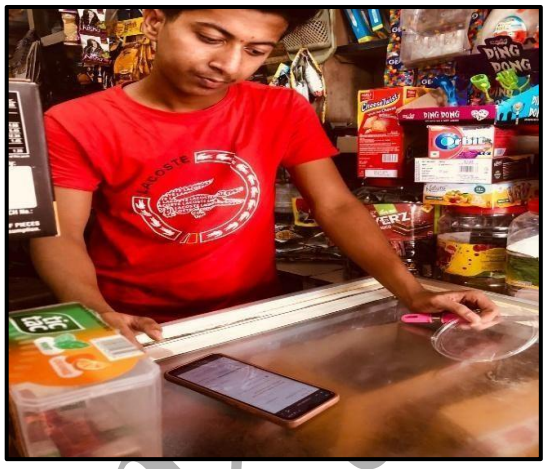

CHAPTER 1: INTRODUCTION

Over the past decade, India has witnessed a significant shift toward digital transactions, driven by rapid technological advancements, government initiatives like Digital India, and increased smartphone and internet penetration. Local kirana stores, traditionally reliant on cashbased transactions, have begun embracing digital payment methods such as UPI, QR codes, and mobile wallets to cater to changing customer preferences and improve operational efficiency.

While digital payments offer convenience, transparency, and faster transactions, they also expose users to risks like fraud, phishing, and data breaches. Many local kirana store owners may not be fully aware of these threats or the best practices for secure digital transactions. This creates a critical need to assess both the level of digital payment adoption and the associated security concerns in these stores.

- To assess the extent of digital payment usage in local kirana stores.
- To identify the types of digital payment platforms commonly used.
- To examine the common security issues and concerns faced by them.
- To suggest possible measures to improve digital payment security in small retail setups.
- This study focuses on small, local kirana stores in [tadali, kamatghar, anjurphata] and aims to evaluate their usage patterns and security awareness regarding digital payments. The study includes both qualitative and quantitative inputs collected through field visits and interviews with store owners.

The findings of this project can help in designing better awareness programs, developing safer digital infrastructure for small merchants.

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CHAPTER 2: LITERATURE REVIEW

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CHAPTER 3: METHODOLOGY

3.1 Research Method

This study adopted a **mixed method** approach, combining both quantitative and qualitative techniques to explore digital payment usage in local kirana stores. The quantitative component involved a structured survey administered to kirana store owners and customers. It collected measurable data on:

- Frequency and types of digital payments used (e.g., UPI, wallets, cards)
- Awareness of digital payment security risks (e.g., fraud, phishing)
- Levels of trust and satisfaction with digital payment systems

3.2 Tools Used

- **Questionnaire:** Structured and distributed via Google Forms.
- **Interview:** Semi-structured interviews with selected store owners and staff.
- **Software/Apps:** Tools like Google Forms for data collection and Excel for organizing and analysing responses.

3.3 Sample Size

- Responses from **38 participants** including retailers and customers.

3.4 Sampling Method

- Used non-probability sampling combining:
  - **Quota sampling:** Ensured representation by store size, location, and payment adoption level.
  - **Snowball sampling:** Recruited additional participants through referrals.

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CHAPTER 4: FIELD WORK DESCRIPTIONS, OBSERVATIONS AND ANALYSIS

4.1 Description:

This project, "Digital Payment Usage and Security Concerns in Local Kirana Stores," studies how small neighbourhood shops adopt digital payment methods like UPI, mobile wallets, and cards. It explores the benefits of digital payments for convenience and business efficiency, as well as the security concerns such as fraud, data privacy, and lack of awareness among store owners. The study aims to understand usage patterns, challenges, and ways to ensure safe digital transactions in local retail settings.

4.2 Observations:

It shows that digital payments are increasingly adopted by kirana stores for convenience and safety, but this shift is hampered by concerns over digital illiteracy, network issues, and security threats like phishing, fraud, and malware. While both customers and shop owners see benefits in contactless transactions, cybersecurity concerns remain a significant hurdle, requiring greater digital literacy and robust security measures to ensure safe and widespread adoption.

4.3 Analysis:

The analysis of the survey responses reveals that the majority of participants are regular users of digital payments at local kirana stores, with **UPI** emerging as the most commonly used payment method. The primary motivation behind this preference is the **speed and convenience** of transactions, with most respondents agreeing that digital payments are **easier than cash transactions**. Despite the widespread usage, many participants reported facing **issues such as slow internet connectivity and technical errors**, which occasionally

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hinder smooth transactions. However, overall trust in digital payments remains high, with most users considering them **secure** and relying on **SMS confirmations** to ensure transaction safety. Interestingly, while respondents expressed confidence in digital payments, they were **neutral or uncertain** about whether kirana stores should actively promote them. When it comes to trust, most participants indicated they **trust both cash and digital payments equally**, reflecting a balanced perspective shaped by both convenience and caution.

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CHAPTER 5: CONCLUSION & RECOMMENDATION

5.1 Conclusion: This study concludes that local kirana stores and their customers have significantly adopted digital payments, with UPI emerging as the preferred method due to its speed and convenience. While a majority of users find digital transactions easier than cash, the transition is hampered by persistent challenges, most notably slow network connectivity, technical errors, and transaction failures. Despite these issues, overall trust in digital payments remains high, with most users feeling they are secure and relying on SMS confirmations for safety. The data reveals a balanced perspective, as most participants trust both cash and digital methods equally, suggesting that while convenience is embraced, a degree of caution remains. Ultimately, your findings highlight a critical need for improved digital infrastructure and greater security awareness to ensure the continued, safe, and reliable growth of digital commerce in the local retail environment.

5.2 Recommendation: Here are the recommendations: -

- Kirana Stores: Get backup internet and train staff on security basics.
- Customers: Always confirm payments and protect your PIN.
- App Providers: Reduce transaction failures and offer better merchant support.
- Government: Improve public internet connectivity and promote digital literacy.

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